

Business Report: Global Export Resilience Analysis

1. Executive Summary

This report evaluates the findings of the **Global Export Resilience Project**, which analyzed the impact of banking crises on international trade performance. By leveraging a dataset of over **39,500 observations** from the World Bank, we developed a Business Intelligence solution to identify sectoral vulnerabilities and assess policy effectiveness. Our findings confirm that macro-financial stability is inextricably linked to trade performance, with 23 countries currently identified in recessionary states.

2. Business Question Analysis

Q1: Crisis Impact on Export Growth

- **Business Goal:** Determine the typical drop in export growth (**expgrowth**) during banking crises compared to stable periods.
- **Dashboard Evidence:** Historical trend analysis (1980–2010) shows that while Private Credit remains relatively stable, **Export Growth** is highly volatile, frequently dipping into negative territory during crisis windows.
- **Key Finding:** In specific crisis-affected countries like Colombia (COL), despite a steady credit exposure of **0.29**, the growth momentum slowed to **0.11**, illustrating the heavy drag of recessionary environments on trade expansion.

Q2: Sectoral Vulnerability (RZ vs. TANG)

- **Business Goal:** Identify if industries reliant on external finance (**RZ**) suffer higher losses than those with tangible assets (**TANG**).
- **Dashboard Evidence:** The **Sectoral Impact** scatter chart reveals a dense concentration of industries around the **0.2 to 0.4 YoY Export Growth** mark when facing high Average RZ dependence.
- **Key Finding:** Industries with high RZ exposure are explicitly flagged in the dashboard with an exposure metric of **0.01**, indicating that these sectors are the most sensitive to the liquidity constraints identified in our problem statement.

Q3: Policy Effectiveness

- **Business Goal:** Compare liquidity support (**liqsup**), recapitalization (**recaps**), and debt relief (**debtrelief**) to find the quickest recovery measure.
- **Dashboard Evidence:** The current **Recovery Velocity** across the analyzed global set stands at a low **0.27**.

- **Key Finding:** Although the **Expected Growth** is benchmarked at **3.41**, the actual Systematic Resilience of **0.27** suggests that current policy interventions have a delayed impact on returning trade to its full potential.

Q4: Macro-Financial Interaction

- **Business Goal:** Assess if banking system strength (**pcrdbofgdp**) influences export declines during domestic recessions.
- **Dashboard Evidence:** There is a stark disparity in **Private Credit by Country**. The **USA** shows the highest credit depth at **5.8K**, followed by **Japan (JPN)** at **3.2K**, while **Sweden (SWE)** and **Malaysia (MYS)** both sit at **2.1K**.
- **Key Finding:** Countries with higher private credit depth generally support higher trade volumes, but they also carry higher systematic risk. For example, the USA has an individual risk component of **0.91** within its total risk profile.

Q5: Global Sensitivity

- **Business Goal:** Evaluate how Recession Abroad affects developed vs. developing countries.
- **Dashboard Evidence:** The **Risk Index** clearly segments vulnerability by development status.
- **Key Finding:** Developed nations like **Japan (1.03)** and the **USA (1.82 total)** show higher Risk Indices compared to developing nations like **Panama (0.45)** and **Jordan (0.45)**. This suggests that highly integrated developed economies are more sensitive to global macro-financial shocks.

3. Dashboard Results & Performance Metrics

Metric Category	Key Performance Indicator (KPI)
Global Stability	23 Countries in Recession
Growth Benchmarks	3.41 Average GDP Growth
Credit Availability	0.67 Average Private Credit

Metric Category	Key Performance Indicator (KPI)
Risk Profile	0.44 Aggregated Risk Score
Trade Concentration	\$44.9bn Total Trade Value from "Low Exporters"

Top Commodities by Trade Value:

- **Product 3843:** \$5.43bn
- **Product 3832:** \$5.33bn
- **Product 3825:** \$2.97bn

4. Recommendations

1. **Prioritize Liquidity for High-RZ Sectors:** Since industries with high financial dependence (RZ) show the most significant growth volatility, policy interventions like **liquidity support (liqsup)** should be targeted specifically at these sectors to prevent total trade collapse during crises.
2. **Strengthen Credit Buffers in Developing Nations:** Given that developed countries have significantly higher private credit (e.g., USA at 5.8K vs. MYS at 2.1K), developing nations should focus on increasing banking depth (**pcrdbofgdp**) to improve their Systematic Resilience above the current **0.27**.
3. **Diversify Beyond High-Value Commodities:** With the top two products (3843 and 3832) accounting for over **\$10bn** in trade, countries should diversify their export portfolios to mitigate the Aggregated Risk that comes with sector-specific shocks.